HARVARD BUSINESS REVIEW

Managing Uncertainty

How to Make a Seemingly Impossible Leadership Decision

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Today's leaders aren't just navigating choppy waters. They're facing a deluge of seemingly impossible decisions. Should we restructure now or wait? How do we approach diversity, equity, and inclusion without sparking conflict or abandoning our values? How do we design talent strategies for exponential change

instead of replacing one person at a time? How do we handle necessary layoffs without gutting trust? And how do we build workplaces that don't suck the humanity out of people?

These aren't simply strategic choices; they are high-stakes gambles, each carrying significant operational, legal, reputational, and, critically, cultural risk. As management

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After observing leaders and organizations struggle with these seemingly intractable dilemmas, I've identified four guidelines leaders can apply when making high-stakes decisions.

1. Map the tradeoffs.

Too often, risks are assessed in silos. Operational needs are weighed separately from legal exposure, which is considered apart from reputational concerns. This approach overlooks the critical interdependencies braided across systems. As academics Robert Kaplan and Annette Mikes observed in HBR, effective strategic risk management depends on understanding how risks

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concerns emerge, adjust your language, clarify your intent, and prepare leaders to answer tough questions with empathy and transparency.

- **What trade-offs are we willing to accept, and why?** If you're unsure, pause to clarify your priorities. Document the rationale

and how you'll explain it to those affected.

- **Are there operational or reputational risks we're overlooking?** If risks surface, assess how they may unfold and whether additional safeguards or communications could reduce potential harm.

These questions help leaders move beyond surface-level decisions

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2. Pressure-test the plan.

Strategic clarity isn't enough. People's reactions, emotions, and interpretations shape how a decision is received.

Before rolling out a big move, ask:

- How might employees, customers, or partners interpret this?
- Does anything feel at odds with our values or past promises?
- Who will be most affected and were they part of the conversation?
- What concerns might this trigger? How will we respond with honesty and care?

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communication feels top-down or rushed, it often triggers "a wave of cynicism, doubt, distrust, and negativity." Sharing plans early and giving managers a voice helps build trust and avoid the fallout that comes from surprise.

3. Use principles to guide decisions, not just policies.

Policies are important; they tell you what to do. But they often fall short when situations get messy, urgent, or emotionally charged.

That's where operating and behavioral principles come in. Principles translate your values into everyday actions and choices. They're the *how* behind your values—the guideposts your team can lean on when the playbook doesn't have an answer.

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Three core elements can put your principles into action:

- **Outcomes.** What's the bigger goal beyond the immediate decision? For example, a layoff might save costs but damage morale and reputation. What's the long game for the health of the business and its people?

- **Clarity.** Who's involved in making the decision? How will it be communicated? How will you ensure everyone understands the purpose behind decisions and how it affects them? Transparency won't solve every concern, but it can reduce anxiety and confusion.
- **Care.** How will people be treated throughout? How will you respond when culture breaks down? Empathy and respect help

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- Here's what's happening.
- Here's why it's happening.
- Here's what we know and what we're still figuring out.

- Here’s how we plan to move forward and what we’re asking of you.

People don’t expect leaders to have all the answers. But they do want honesty, clarity, and reassurance that they’re not navigating change alone. Here are a few ways to practice this:

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supported, and seen, even in uncertainty.

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The world isn’t likely to become less complex or uncertain anytime soon. By embracing these guidelines, leaders can cut

through ambiguity, balance competing pressures, and act with integrity and precision, even when every option feels murky or risky. By grounding change in strong values and deep commitment to your people, you can build a resilient, adaptable, and truly human workplace where people and business can thrive.

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